School of Innovation and Management (SoIM)

Post Graduate Diploma in Management (PGDM)

Course Outline **PGDM (2025-27)** **Trimester – IV**

Course Code: 407FS	Course Name: Portfolio Management and Mutual Funds	Course Credits: 3.0

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Course Coverage:

This course provides a comprehensive understanding of portfolio management and mutual funds, integrating investment theories with practical applications relevant to professional investment management. It covers investor objectives and constraints, risk-return analysis, capital market theories, Modern Portfolio Theory, strategic asset allocation across equity, fixed-income and alternative investments, and mutual fund structures and regulations. Students will develop skills to evaluate portfolio and fund performance using measures such as the Sharpe and Treynor ratios, assess investments against appropriate benchmarks, and apply analytical and decision-making techniques through real-world data, case studies, and practical examples.

Course Objectives:

1. Equip students with a thorough understanding of portfolio management and mutual fund fundamentals, including risk-return analysis and investment principles.
2. Develop skills to analyze and apply capital market theories, including the Security Market Line and Efficient Market Hypothesis (EMH), in portfolio evaluation.
3. Foster awareness of behavioural finance concepts, focusing on identifying investment biases and their impact on decision-making.
4. Introduce practical evaluation tools such as the Treynor Measure and Sharpe Ratio to assess investment performance accurately.
5. Build competence in examining mutual fund types, understanding regulatory frameworks, and analysing real-world data for effective financial planning and investment decisions.

Course Learning Outcomes:

After completing the course, student should be able to:

1. Gain a strong foundation in key portfolio management and mutual fund concepts, including risk-return evaluation.
2. Understand and apply capital market and behavioural finance theories to assess investment choices.
3. Use tools like Treynor and Sharpe ratios to evaluate portfolio and mutual fund performance.
4. Distinguish various mutual fund types and analyze their regulatory roles and performance metrics in India.
5. Build practical decision-making skills for financial analysis and portfolio management using real-world data and case studies.

Assessment Tools for Learning Outcome:

Learning Outcome	Assessment Criteria
Students should understand the foundational concepts and principles of portfolio management and mutual funds to navigate the investment landscape effectively.	Quiz, Class Participation and Mid & End-term exams
Students should be able to analyze and evaluate risk and return using frameworks such as Modern Portfolio Theory and the Sharpe Single Index Model.	Quiz, Class Participation and Mid & End-term exams
Students should apply practical tools for portfolio evaluation, including the Treynor Measure and Sharpe's Ratio, to analyze investment performance comprehensively.	Quiz, Class Participation and Mid & End-term exams
Students should differentiate between various types of mutual funds and understand their roles within the regulatory framework in India.	Quiz, Class Participation and Mid & End-term exams
Students should evaluate mutual fund performance metrics, including Net Asset Value (NAV) and taxation implications, to make informed investment decisions.	Quiz, Class Participation and Mid & End-term exams

Pedagogy:

The course will be covered across 20 sessions of 90minutes each, totaling 30 hours. The course will conduct through interactive sessions to cover the conceptual aspects and to impart Lectures, Workshops, Group Projects, Flipped Classroom, Role-Playing Scenarios, Quizzes and Reflections.

Session Plan:

The course will be covered across 20 sessions of 90minutes each, totaling 30 hours. The course contents would be as under:

Session Plan			Pedagogy
Sl. No.	Topic	Pre-reading / Reference	
1	**Introduction to Portfolio Management** • Portfolio Management Process • Objectives of Portfolio Management • Selection of Asset mix	Chapter 5/ Reference sources	Lecture, Discussion & Case Studies
2	**Portfolio Theory** • Risk and Return Analysis • Modern portfolio theory • Markowitz Portfolio Theory • Sharpe Single Index model	Chapter 3-4 / Reference sources	Presentation, Class Discussion & Caselets
3	**Portfolio Analysis** • Capital Asset Pricing Model • Arbitrage Pricing Theory	Chapter 7/ Reference sources	Lecture, practical exercise & Caselets
4	**Capital Market Theory** • Security Market Line • Capital Market Line • Zero Beta Model	Chapter 8/ Reference sources	Presentation, Class Discussion, exercise & Caselets
5	**Investment Allocation Decision** • Types of asset allocation	Chapter 4/ Reference sources	Lecture, Discussion & Case study

	• Different approaches to allocation decision • Overview of allocation techniques		
6	**Efficient Market Hypothesis** • Overview of EMH • EMH in Emerging Markets • Regulatory Implications of EMH	Chapter 11/ Reference sources	Lecture, Discussion & Case study
7	**Behavioural Finance** • Investment biases • Behavioural Finance Vs. Standard finance • Fusion Investment	Chapter 12/ Reference sources	Lecture, Discussion & Case study
8	**Portfolio Evaluation** • Treynor Measure • Sharpe's Ratio	Chapter 22/ Reference sources	Presentation, Class Discussion, exercise & Caselets
9	**Portfolio Evaluation** • Jensen Measure • Fama Net Selection	Chapter 22/ Reference sources	Presentation, Class Discussion, exercise & Caselets
10	**Portfolio Revision** • Constant Dollar Value Plan • Constant Ratio Plan • Dollar Cost averaging	Chapter 13/ Reference sources	Lecture, Class Discussion, exercise & Caselets
MID-TERM EXAMINATION			
11	**Mutual Fund** • Concepts and role of Mutual fund • Benefits of investing through MF • MF Structure – Sponsor, Trustee, IM, Custodian (Roles & Responsibilities of each entity)	Chapter 1/ Reference sources	Lecture & Class Discussion
12	**Mutual Fund types in India** • Types of Mutual Fund products • Investment process in Mutual Fund • Mutual fund Expense Ratio • Mutual fund vs. ETFs	Chapter 3/ Reference sources	Referred various MF scheme (SBI-MF), Lecture, Class Discussion & case study
13	**Mutual Fund Regulation** • Legal structure of MF in India • Working of MF • SEBI regulation • Role of SEBI and AMFI	SEBI's Mutual Fund Regulations document.	Lecture, Class Discussion & case study
14	**Mutual Fund Plans in India** • Various options and plans in Mutual Funds • SIP, STP, SWP • Benchmark for different type of MF scheme • Risk-adjusted returns • Tracking Error	Chapter 5/ Reference source	Lecture, Discussion & presentation
15	**Analysing of Mutual Funds** • Metrics of Analysis in Factsheet • Reading of Factsheet • Mutual fund schemes analysing • Taxation of mutual fund	Chapter 10/ Reference sources/ MF factsheet	Referred various Factsheet, lecture & discussion.

16	**Mutual Fund Valuation** • Fair Valuation • Market to market • Net Asset Value	Chapter 7/ Reference sources	Lecture, Discussion & Caselets
17	**Net Asset Value** • Total Expense Ratio • Pricing of Units	Chapter 6/ Reference sources	Lecture, Discussion & Caselets
18	**Mutual Fund Performance in India** • Mutual Fund performance • Growth patterns of Mutual fund • Challenges and Opportunity of Mutual Fund Industry	Chapter 9/ Reference sources	Lecture, Discussion & Case study
19	**Mutual Fund Managers** • Fund managers role in Mutual Fund • Role of FIIs in Mutual fund • Fund distribution and Channel Management practices	Chapter 19/ Reference sources	Project
20	**Preparing for Final Project**	-	Project
END-TERM EXAMINATION			

Recommended/Reference Text Books/Recourses (Journals, Internet Websites):

1. "Investments" by Zvi Bodie, Alex Kane, and Alan Marcus, 12th Edition (2020),McGraw-Hill Education.
2. "Modern Portfolio Theory and Investment Analysis" by Edwin J. Elton, Martin J. Gruber, Stephen J. Brown, and William N. Goetzmann, 9th Edition (2014) Wiley.
3. "Investment Management: Security Analysis and Portfolio Management" by Prasanna Chandra,4th Edition (2017), McGraw-Hill Education (India).
4. "Mutual Funds in India: Structure, Performance and Market Dynamics" by Nalini Prava Tripathy, 1st Edition (2007), Excel Books India.
5. "Fundamentals of Investment Management" by Geoffrey A. Hirt and Stanley B. Block, 10th Edition (2011), McGraw-Hill Education.
6. "Portfolio Management: Theory and Practice" by Scott D. Stewart, Christopher D. Piros, and Jeffrey C. Heisler, 2nd Edition (2019), Wiley.
7. NISM-Series-V-A: Mutual Fund Distributors
8. **Mutual Fund(www.sbimf.com/mutual-fund)**
9. https://www.amfiindia.com/
10. https://www.amfiindia.com/otherdata/fund-performance

Course Evaluation:

Evaluation is a continuous process at SoIM. Students will be given individual/group projects/ assignments in Portfolio Management and Mutual Fund. Keeping in line with continuous evaluation at SoIM, the evaluation scheme is as follows:

Areas	Weightage
(I) Continuous Evaluation: *(Quizzes: 10 Marks, Assignments, Group/Individual Projects: 30 Marks*	40%
(II) Mid Term Examination	20%
(III) Final Examination	40%
Total	**100 %**

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